

HDFC Bank

BUY

Credit growth improved; Restructured assets at 1.52%

Summary

HDFC Bank reported improvement in credit growth to 15.4% YoY vs 14% YoY (Q1FY22) supported by rise in retail loan growth (13% YoY vs 9% YoY). Restructured assets increased to 1.52% of advances vs 0.8% (QoQ) led by sharp rise in personal loan portfolio which needs to be watch out for future slippages. However, asset quality improved with GNPA at 1.35% vs 1.47% QoQ led by lower slippages. Annualized slippage ratio declined to 1.8% vs 2.54% QoQ. Deposits growth increased to 14% YoY vs 13% YoY (Q1FY22). NII grew slowly by 12% YoY, however NIMs remain stable. PPOP grew by 14% YoY as cost to income ratio remains stable at 37%; fee income grew by 26% YoY. Provision grew by 6% YoY resulted into low credit cost at 1.3% vs 1.8% YoY. Thus, PAT grew by 18% YoY. We have moved to FY24E estimates and have BUY rating with the new target price of Rs.2,020 (earlier 1,790) based on P/BV of 3.6x FY24.

Key Highlights and Investment Rationale

- Credit as well as deposit growth improved:** HDFCB reported improvement in credit growth to 15% YoY vs 14.4% YoY. Domestic Corporate book slow down to 6% (10% in Q1FY22) and retail book improves to 13% vs 9% YoY (Q1FY22). Deposits growth improved to 14% YoY (4% QOQ) vs 13% YoY in Q1FY22; CASA deposits grew by 28% resulted CASA ratio at 46.8% vs 45.5% YoY.
- Asset quality improved; restructuring at 152bps:** Bank Asset quality improved with GNPA at 1.35% vs 1.47% YoY (1.32% QoQ); NNPA at 0.4% vs 0.48% YoY. Credit cost comes in at 1.3% vs 1.7% QoQ (1.8% YoY). Bank annualized slippages stood at 1.8% vs 2.54% QoQ. Restructuring advances increased to 152bps vs 80bps (Q1FY22) led by rise in personal loans portfolio which needs to be watched out for future slippages.
- Outlook:** HDFC Bank continues to command highest market share amongst private banks. We believe HDFCB to gain market share led by strong leadership position across segments, large distribution, digital focus and strong capital adequacy. We remain structurally positive on HDFCB given its superior credit underwriting, structurally better NIM and the ability to maintain higher RoA among its peers.

TP	Rs2,020
CMP	Rs1,686
Potential upside / downside	20%
Previous Rating	BUY

V/s Consensus

EPS (Rs)	FY22E	FY23E	FY24E
IDBI Capital	66.3	76.9	93.3
Consensus	66.2	79.3	93.8
% difference	0.2	(3.0)	(0.6)

Shareholding Pattern (%)

Promoters	25.9
FII	39.4
DII	17.2
Public	17.5

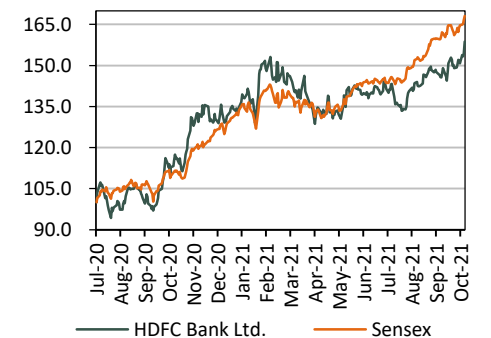
Price Performance (%)

	-1m	-3m	-12m
Absolute	8.1	10.8	40.6
Rel to Sensex	8.1	1.1	(5.2)

Key Stock Data

Bloomberg / Reuters	HDFCB IN/HDBK.BO
Sector	Bank
Shares o/s (mn)	5,537
Market cap. (Rs mn)	9,335,590
Market cap. (US\$ mn)	124,491
3-m daily average value (Rs mn)	--
52-week high / low	Rs1,690/1,164
Sensex / Nifty	61,306 / 18,339

Relative to Sensex (%)



Financial snapshot

	(Rs mn)				
Year	FY2020	FY2021	FY2022E	FY2023E	FY2024E
NII	5,61,862	6,48,796	7,46,723	8,75,071	10,35,947
Net Profit	2,62,573	3,11,165	3,65,402	4,24,066	5,14,297
EPS (Rs)	47.9	56.4	66.3	76.9	93.3
ABV (Rs)	308.0	363.9	429.4	490.7	568.3
PER (x)	35.2	29.9	25.4	21.9	18.1
P/ABV (x)	5.5	4.6	3.9	3.4	3.0
ROE (%)	16.4	16.6	16.5	16.5	17.4
ROA (%)	1.9	1.9	2.0	2.0	2.0
GNPA (%)	1.3	1.3	1.4	1.4	1.4
NNPA (%)	0.4	0.4	0.4	0.3	0.3
CAR (%)	18.5	18.8	19.3	18.5	17.9

Source: IDBI Capital Research

Conference Call Highlights

Digital and Card business

- Technology enablers made ready for a future ready organization. Website traffic at 82mn visits from 31mn visits (increase of 24% over last year).
- Bank opened 2.4mn new liability relationship, an increase of 31% over prior year and 45% over previous quarter.
- UPI transactions by count both P2P and P2M have sequentially grown by 35% to 89 cr transactions and over year it has gone up by 2.2 times.
- For quarter in terms of value, P2P market share is about 10% and P2M market share is about 15%. Mobile banking transactions have seen a growth of 66% YoY.
- Bank has over 3.5mn customers with easy EMI loans. The bank has 2.5mn acceptance points as of September end with a growth of 27% YoY.
- Affording business volumes (including credit, debit, UPI, EPI, Direct pay grew by 45% YoY to Rs.3,53,,000 cr for the quarter. The bank's acquiring market share is at 47%. With 1mn new small businesses approaching the smart hub platform, the bank targets to achieve 20mn merchants.
- Credit card spend for the bank has grown 36% YoY and sequentially 27%. The initial days of October show 42% growth in cards spends over similar period in September driven by festive spends. In last 5 weeks of quarter, bank issued 416,000 credit cards, which it expects to sustain and grow.

Retail Asset:

- On retail asset front, incremental disbursement during the quarter, exhibited a growth of 50% sequentially, 71% YoY, resulting in sequential growth of 5.4%.
- Retail asset book has exhibited robust quarterly sequential growth of around 4.5% (Sept21 over June 21) and 11.5% YoY. Bank expects a positive sequential growth in the coming quarters as well.

Advances Overview:

- The bank's book has shown growth, although the domestic vehicle unit's sales witnessed a drop of 37% for September 21 over September 20. However, auto loan disbursal for HDFC bank in value terms is increased by 36% in the same period.

- On the combined mortgage book, the LAP showing strong sequential QoQ growth and bank expects growth to sustain in the latter half of the year as well.
- The business in the textile sector is expecting a growth of 30%-40%, home appliances businesses are talking about a 20% higher growth than pre-COVID levels.
- FMCG, telecom and food grains expecting a range of 20%-30% growth.

Commercial and Rural Business

- Commercial and Rural Business saw robust growth of 27.4% YoY, 7.4% QoQ, capturing strong underlying economic activity,
- CASA performance remains strong at 21% YoY and 4.6% QoQ, with expansion in rural and semi-urban segments. Bank has a strong growth outlook in both the December and March quarter.
- Rural banking saw a 12% QoQ growth, helped by record disbursement, strong customer acquisition, deeper village penetration in 1 lakh village where the bank already operates, crop diversification, small and marginal farmers, strong sowing from June to July and rural infra support initiatives.
- Business remains on track to achieve a 20%-25% growth for the full year on a conservative basis.

Transportation Finance

- The business saw a 5.2% QoQ increase, with market share improving to 25%-30% with all OEM in the product category. Commercial vehicle finance which bank financed was 4.5 times, but industry volume grew 1.2 times.
- Construction equipment and tractor - H2 of FY21-22 is expected to be a strong period and industry is on growth phase.

Wholesale SME business

- It saw asset growth of 33% YoY, 7.5% QoQ remains largely self-funded. At the start of year, it was targeted to establish footprint in 575 districts during the year, in retail SME business bank saw record disbursements 83% higher than Q1, remains on track for 50%+ growth during the financial year.
- Healthcare business had 5.2% QoQ growth rate. Result of strong Cash-flow in the sector. The bank is participating in the government's LGCAS scheme of the government.

- The bank expects strongest growth in the rural as well as the MSME business. The growth outlook for MSME, bank states is poised for a 1+1 model which means whatever is the book as of March 31, 2022.
- The bank plans to expand its digital footprint to 1 lakh more villages, with participation in lot of government schemes such as the agri infra fund, CGFMU, LGCAS, CGTMSE, PMFME, PM Kisan saturation, PMMSY, CLGS and other schemes.

Provisioning

- The core annualized slippage ratio for current quarter is 1.8% or on a quarterly basis. During the quarter the recoveries and upgrades were at about Rs.3,500 cr
- Write off in the quarter were approximately Rs.2,600 cr, approx. 25 basis points. Sale of NPA was of Rs.500 cr. The restructuring under RBI resolution framework for COVID-19 stands at 152 basis points.

HDB Financial

- Provisions stood at 634 cr, includes 125 cr of management overlay. Gross stage 3 NPA stood at 6.1%, reduction of 200 bps in the quarter over previous quarter.
- Over 70% of book is stage 3 secured, carries a PCR of 43%, unsecured has PCR of 88%, LCR at 153%.

Important highlights from Q&A

- Last 6-8 quarters saw transition of retail and wholesale mix. Currently momentum on retail is picking up. NII on RWA stands at 6%.
- Restructured loans stands at 150bps (Rs18,000Cr) incl. 25bps is not restructured but reported and include some moratorium customer in the book.
- Other expenses would be increasing as retail is recovering and also Cost of acquisition, sales, marketing expenses etc increasing. As Retail activity will go up, so as the cost will also go up.
- Technology cost saw normal increase and increased by 15-16% and 4-5% QoQ, while cost per acquisition going down will offset the expenses at same time.
- Paytm tie up will benefit bank in broad base merchant acquisition, bank relationship toward merchant will improve, Card acquiring through this channel (merchant and customers) and also data from partners help in sourcing NTB customers.

- As per Bureau data (June'20- June'21), Bank rural book increase in market share and private sector bank as whole saw decline in market share. NPA % decline for bank and other peers saw a 2% increase in NPA.
- Currently 1.5 crore MSME (out of 6.5Cr MSME) borrow and Bank share for the same is fractional.
- Technology spends to revenue are in the range of 2.7-2.8% or 7.5-8% of expenses.
- Wholesale growth depends on two factors
 - 1) infra spending from govt. (already started) and expects corporate to start behind that. Bank 30% of book term lending, Bank is one of the largest participation of infra lending, 2
 - 2) capacity utilization of corporate not come back to 70% but need to watch out. Need to watch out for 1 more quarter for same.
- Restructure loans- expect impact of 10-20bps could be seen in NPL.

Exhibit 1: Quarterly Snapshot

(Rs mn)

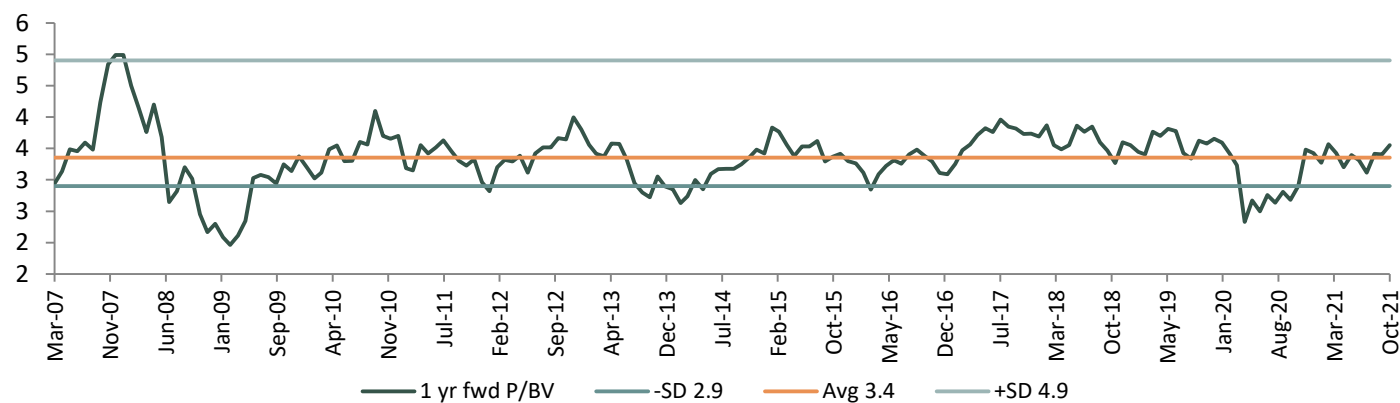
Year-end: March	Q2FY22	Q2FY21	Q1FY22	YoY (%)	QoQ (%)
Interest Income	3,13,534	2,99,770	3,04,829	4.6	2.9
Interest Expenses	1,36,690	1,42,006	1,34,740	-3.7	1.4
Net Interest Income	1,76,844	1,57,764	1,70,089	12.1	4.0
NIM Calc.(%)	4.4	4.4	4.3	(3 bps)	13 bps
Non-Interest Income	74,008	60,925	62,885	21.5	17.7
Operating Income	2,50,852	2,18,689	2,32,974	14.7	7.7
Staff Cost	29,671	25,424	27,656	16.7	7.3
Other Op Exp	63,108	55,127	53,948	14.5	17.0
Total Operating Expenses	92,779	80,551	81,604	15.2	13.7
<i>Cost to Income (%)</i>	<i>37.0</i>	<i>36.8</i>	<i>35.0</i>	<i>15 bps</i>	<i>196 bps</i>
Operating Profit	1,58,073	1,38,138	1,51,370	14.4	4.4
Provisions	39,247	37,035	48,308	6.0	(18.8)
PBT	1,18,826	1,01,103	1,03,062	17.5	15.3
Tax	30,483	25,972	25,766	17.4	18.3
<i>-effective tax rate</i>	<i>25.7</i>	<i>25.7</i>	<i>25.0</i>	<i>(4 bps)</i>	<i>65 bps</i>
PAT	88,343	75,131	77,296	17.6	14.3
EPS (Rs)	31.9	27.3	28.0	16.9	14.1
BV (Rs)	789.9	676.3	768.9	16.8	2.7
Deposits	1,40,63,433	1,22,93,104	1,34,58,293	14.4	4.5
Advances	1,19,88,374	1,03,83,351	1,14,76,516	15.5	4.5

Source: Company; IDBI Capital Research

Exhibit 2: ROE Decomposition

(%)	FY20	FY21	FY22E	FY23E	FY24E
NII	4.05	3.96	3.99	4.03	4.07
Fees	1.54	1.30	1.31	1.32	1.33
Other Income	0.14	0.24	0.23	0.22	0.22
Net Revenue	5.73	5.50	5.52	5.57	5.62
Op.Exp	2.21	2.00	2.07	2.13	2.07
Op.Profit	3.51	3.50	3.45	3.44	3.55
Provisions	0.88	0.96	0.85	0.83	0.85
PBT	2.64	2.54	2.61	2.61	2.70
Tax	0.75	0.64	0.66	0.66	0.68
ROA	1.89	1.90	1.95	1.95	2.02
Leverage (x)	8.67	8.75	8.44	8.44	8.61
ROE	16.40	16.61	16.46	16.49	17.41

Source: Company; IDBI Capital Research

Exhibit 3: One-year forward P/ABV

Source: Company; IDBI Capital Research

Financial Summary

Profit & Loss Account

(Rs mn)

Year-end: March	FY21	FY22E	FY23E	FY24E
Net interest income	648,796	746,723	875,071	1,035,947
Non-Interest Income	252,048	287,366	335,076	393,602
Operating Income	900,844	1,034,089	1,210,147	1,429,550
Operating expenses	(327,226)	(387,306)	(462,360)	(526,160)
Employee expenses	(103,648)	(118,144)	(132,918)	(137,418)
Other expenses	(223,578)	(269,162)	(329,442)	(388,742)
Pre-Provision Profit	573,618	646,783	747,787	903,390
Provision	(157,028)	(158,474)	(181,081)	(216,103)
PBT	416,590	488,309	566,706	687,287
Taxes	(105,425)	(122,907)	(142,640)	(172,990)
Net profit	311,165	365,402	424,066	514,297

Balance Sheet

(Rs mn)

Year-end: March	FY21	FY22E	FY23E	FY24E
Capital	5,513	5,513	5,513	5,513
Reserves	2,031,696	2,397,098	2,734,821	3,162,708
Networth	2,037,209	2,402,611	2,740,334	3,168,221
Borrowings	1,354,873	1,489,476	1,478,364	1,470,279
Total Liab. & Equity	17,468,705	20,006,264	23,415,556	27,440,301
Cash	1,194,705	1,215,534	1,434,330	1,692,509
Investments	4,437,282	5,045,695	5,755,304	6,592,642
Advances	11,328,366	13,140,905	15,506,267	18,297,396
Other Assets	459,259	551,111	661,333	793,600
Total assets	17,468,705	20,006,264	23,415,556	27,440,301

Source: Company; IDBI Capital Research

Financial Ratios

(%)

Year-end: March	FY21	FY22E	FY23E	FY24E
Growth				
Deposits	16.3	14.9	18.5	18.4
Advances	14.0	16.0	18.0	18.0
NII	15.5	15.1	17.2	18.4
Pre-Provision Profit	17.7	12.8	15.6	20.8
Net Profit	18.5	17.4	16.1	21.3
Spreads				
Yield on Assets	7.9	7.9	7.9	8.0
Cost of Funds	4.1	4.1	4.0	4.0
NIM	4.3	4.3	4.3	4.4
CASA	46.1	46.0	47.0	47.0
Operating Efficiency				
Cost-to-Income	36.3	37.5	38.2	36.8
Cost-to-Assets	2.0	2.1	2.1	2.1
Asset Quality				
GNPA	1.3	1.4	1.4	1.4
NNPA	0.4	0.4	0.3	0.3
Provision Coverage	69.8	72.4	77.1	81.2
Credit Cost	1.1	1.2	1.2	1.2
Capital Adequacy				
CAR	18.8	19.3	18.5	17.9
Tier I	17.6	17.8	17.2	16.9
Valuation				
EPS	56.4	66.3	76.9	93.3
ABV	363.9	429.4	490.7	568.3
P/E	29.9	25.4	21.9	18.1
P/BV	4.6	3.9	3.4	2.9
ROE	16.6	16.5	16.5	17.4
ROA	1.9	2.0	2.0	2.0
RORWA	2.9	2.8	2.6	2.6



Notes

Dealing

(91-22) 6836 1111

dealing@idbicapital.com

Key to Ratings Stocks:**BUY:** 15%+; **HOLD:** -5% to 15%; **SELL:** -5% and below.**IDBI Capital Markets & Securities Ltd.****Equity Research Desk**

6th Floor, IDBI Tower, WTC Complex, Cuffe Parade, Colaba, Mumbai – 400 005. Phones: (91-22) 2217 1700; Fax: (91-22) 2215 1787; Email: info@idbicapital.com

SEBI Registration: BSE & NSE (Cash & FO) – INZ000007237, NSDL – IN-DP-NSDL-12-96, Research – INH000002459, CIN – U65990MH1993GOI075578**Compliance Officer:** Christina D'souza; Email: compliance@idbicapital.com; Telephone: (91-22) 2217 1907**Disclaimer**

This report has been published by IDBI Capital Markets & Securities Ltd.(hereinafter referred to as "IDBI Capital") for private circulation. This report should not be reproduced or copied or made available to others. No person associated with IDBI Capital is obligated to call or initiate contact with you for the purposes of elaborating or following up on the information contained in this report. The information contained herein is strictly confidential and meant for solely for the selected recipient and may not be altered in any way, transmitted to copied or distributed, in part or in whole, to any other person or to the media or reproduced in any form, without the prior written consent of IDBI Capital.

Recipients may not receive this report at the same time as other recipients. IDBI Capital will not treat recipients as customers by virtue of their receiving this report.

The information contained herein is from the public domain or sources believed to be reliable, but we do not make any representation or warranty that it is accurate, complete or up-to-date and it should not be relied upon as such. While reasonable care has been taken to ensure that information given is at the time believed to be fair and correct and opinions based thereupon are reasonable, due to the very nature of research it cannot be warranted or represented that it is accurate or complete and it should not be relied upon as such. In so far as this report includes current or historical information, it is believed to be reliable, although its accuracy and completeness cannot be guaranteed.

Opinions expressed are current opinions as of the date appearing on this material only. While we endeavor to update on a reasonable basis, the information discussed in this material, IDBI Capital, its directors, employees are under no obligation to update or keep the information current. Further there may be regulatory, compliance, or other reasons that prevent us from doing so.

Prospective investors and others are cautioned that any forward-looking statements are not predictions and may be subject to change without notice.

IDBI Capital, its directors and employees and any person connected with it, will not in any way be responsible for the contents of this report or for any losses, costs, expenses, charges, including notional losses/lost opportunities incurred by a recipient as a result of acting or non-acting on any information/material contained in the report.

This is not an offer to sell or a solicitation to buy any securities or an attempt to influence the opinion or behavior of investors or recipients or provide any investment/tax advice.

This report is for information only and has not been prepared based on specific investment objectives. The securities discussed in this report may not be suitable for all investors. Investors must make their own investment decision based on their own investment objectives, goals and financial position and based on their own analysis.

Trading in stocks, stock derivatives, and other securities is inherently risky and the recipient agrees to assume complete and full responsibility for the outcomes of all trading decisions that the recipient makes, including but not limited to loss of capital.

Opinions, projections and estimates in this report solely constitute the current judgment of the author of this report as of the date of this report and do not in any way reflect the views of IDBI Capital, its directors, officers, or employees.

This report is not directed or intended for distribution to, or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction, where such distribution, publication, availability or use would be contrary to law, regulation or which would subject IDBI Capital and associates to any registration or licensing requirement within such jurisdiction. The securities described herein may or may not be eligible for sale in all jurisdictions or to certain category of investors. Persons in whose possession this report may come are required to inform themselves of and to observe such restriction.

E-mail is not a secure method of communication. IDBI Capital cannot accept responsibility for the accuracy or completeness of any e-mail message or any attachment(s).

This transmission could contain viruses, be corrupted, destroyed, incomplete, intercepted, lost or arrived late. IDBI Capital, its directors or employees or associates accept no liability for any damage caused, directly or indirectly, by this email.

Analyst Disclosures

We, Bunty Chawla and Melwin Mathew, hereby certify that the views expressed in this report accurately reflect our personal views about the subject companies and / or securities. We also certify that no part of our compensation were, are or would be directly or indirectly related to the specific recommendations or views expressed in this report. Principally, we will be responsible for the preparation of this research report and have taken reasonable care to achieve and maintain independence and objectivity in making any recommendations herein.

Other Disclosure

IDBI Capital Markets & Securities Ltd.(herein after referred to as “IDBI Capital”) was incorporated in the year 1993 under Companies Act, 1956 and is a wholly owned subsidiary of IDBI Bank Limited. IDBI Capital is one of India’s leading securities firm which offers a full suite of products and services to individual, institutional and corporate clients namely Stock broking (Institutional and Retail) , Distribution of financial products, Merchant Banking, Corporate Advisory Services, Debt Arranging & Underwriting, Portfolio Manager Services and providing Depository Services. IDBI Capital is a registered trading and clearing member of BSE Ltd. (BSE) and National Stock Exchange of India Limited (NSE). IDBI Capital is also a SEBI registered Merchant Banker, Portfolio Manager and Research Analyst. IDBI Capital is also a SEBI registered depository participant with National Securities Depository Limited (NSDL) and is also a Mutual Fund Advisor registered with Association of Mutual Funds in India (AMFI).

IDBI Capital and its associates IDBI Bank Ltd. (Holding Company), IDBI Intech Ltd. (Fellow Subsidiary), IDBI Asset Management Ltd. (Fellow Subsidiary) and IDBI Trusteeship Services Ltd. (Fellow Subsidiary).

IDBI Group is a full-serviced banking, integrated investment banking, investment management, brokerage and financing group. Details in respect of which are available on www.idbicapital.com IDBI Capital along with its associates are leading underwriter of securities and participants in virtually all securities trading markets in India. We and our associates have investment banking and other business relationships with a significant percentage of the companies covered by our Research Department. Investors should assume that IDBI Capital and/or its associates are seeking or will seek investment banking or other business from the company or companies that are the subject of this material. IDBI Capital generally prohibits its analysts, persons reporting to analysts, and their dependent family members having a financial conflict of interest in the securities or derivatives of any companies that the analysts cover. Additionally, IDBI Capital generally prohibits its analysts and persons reporting to analysts from serving as an officer, director, or advisory board member of any companies that the analysts cover. Our sales people, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients that reflect opinions that are contrary to the opinions expressed herein, and our proprietary trading and investing businesses may make investment decisions that are inconsistent with the recommendations expressed herein. In reviewing these materials, you should be aware that any or all of the foregoing, among other things, may give rise to real or potential conflicts of interest. Directors of IDBI Capital or its associates may have interest in the Companies under recommendation in this report either as Director or shareholder. Additionally, other important information regarding our relationships with the company or companies that are the subject of this material is provided herein. This material should not be construed as an offer to sell or the solicitation of an offer to buy any security in any jurisdiction where such an offer or solicitation would be illegal. We are not soliciting any action based on this material. It is for the general information of clients of IDBI Capital. It does not constitute a personal recommendation or take into account the particular investment objectives, financial situations, or needs of individual clients. Before acting on any advice or recommendation in this material, clients should consider whether it is suitable for their particular circumstances and, if necessary, seek professional advice. The price and value of the investments referred to in this material and the income from them may go down as well as up, and investors may realize losses on any investments. Past performance is not a guide for future performance, future returns are not guaranteed and a loss of original capital may occur. We and our associates, officers, directors, and employees, including persons involved in the preparation or issuance of this material, may from time to time have “long” or “short” positions in, act as principal in, and buy or sell the securities or derivatives thereof of companies mentioned herein. For the purpose of calculating whether IDBI Capital and its associates holds beneficially owns or controls, including the right to vote for directors, 1% or more of the equity shares of the subject issuer of a research report, the holdings does not include accounts managed by IDBI Asset Management Company/ IDBI Mutual Fund.

IDBI Capital hereby declares that our activities were neither suspended nor we have materially defaulted with any Stock Exchange authority with whom we are registered in last five years. However SEBI, Exchanges and Depositories have conducted the routine inspection and based on their observations have issued advice letters or levied minor penalty on IDBI Capital for certain operational deviations. We have not been debarred from doing business by any Stock Exchange / SEBI or any other authorities; nor has our certificate of registration been cancelled by SEBI at any point of time. IDBI Capital, its directors or employees or associates, may from time to time, have positions in, or options on, and buy and sell securities referred to herein. IDBI Capital or its associates, during the normal course of business, from time to time, may solicit from or perform investment banking or other services for any company mentioned in this document or their connected persons or be engaged in any other transaction involving such securities and earn brokerage or other compensation or act as a market maker in the financial instruments of the company(ies) discussed herein or their affiliate companies or act as advisor or lender / borrower to such company(ies)/associates companies or have other potential conflict of interest. This report may provide hyperlinks to other websites. Except to the extent to which the report refers to the website of IDBI Capital, IDBI Capital states that it has not reviewed the linked site and takes no responsibility for the content contained in such other websites. Accessing such websites shall be at recipient's own risk. IDBI Capital encourages the practice of giving independent opinion in research report preparation by the analyst and thus strives to minimize the conflict in preparation of research report. Accordingly, neither IDBI Capital nor Research Analysts have any material conflict of interest at the time of publication of this report. We offer our research services to primarily institutional investors and their employees, directors, fund managers, advisors who are registered with us. The Research Analyst has not served as an officer, director or employee of Subject Company. We or our associates may have received compensation from the subject company in the past 12 months. We or our associates may have managed or co-managed public offering of securities for the subject company in the past 12 months. We or our associates may have received compensation for investment banking or merchant banking or brokerage services from the subject company in the past 12 months. We or our associates may have received any compensation for products or services other than investment banking or merchant banking or brokerage services from the subject company in the past 12 months. We or our associates may have received any compensation or other benefits from the Subject Company or third party in connection with the research report. Research Analyst or his/her relative’s may have financial interest in the subject company. IDBI Capital or its associates may have financial interest in the subject company. Research Analyst or his/her relatives does not have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report. IDBI Capital or its associates may have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report. The Subject Company may have been a client during twelve months preceding the date of distribution of the research report. Price history of the daily closing price of the securities covered in this note is available at www.bseindia.com; www.nseindia.com and www.economictimes.indiatimes.com/markets/stocks/stock-quotes.